

# Global Superstore: The Revival Strategy

## From forensic diagnosis to a 6-12 month turnaround plan

### Syndicate 6

- |                                              |                                     |
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# Sales are growing; profit is leaking through discounting and freight

One key message for the Board

**Global Superstore does not have a growth problem. It has a margin-leakage problem: about a quarter of all order lines sell at a loss, and the loss is concentrated in deep discounts and loss-making overseas territories. Tightening price control and fixing those territories recovers roughly \$1.23M of operating profit without adding a single new sale.**

The evidence in four numbers

**\$2.26M → \$4.30M**

Revenue over four years (+90.3%, 23.9% a year)

**11.6%**

Operating margin, four-year average (11.0% to 11.7%)

**-\$920,646**

Profit destroyed by 12,544 loss-making lines (24.5%)

**+\$1.23M**

Operating profit recoverable on the current ledger (+84%)

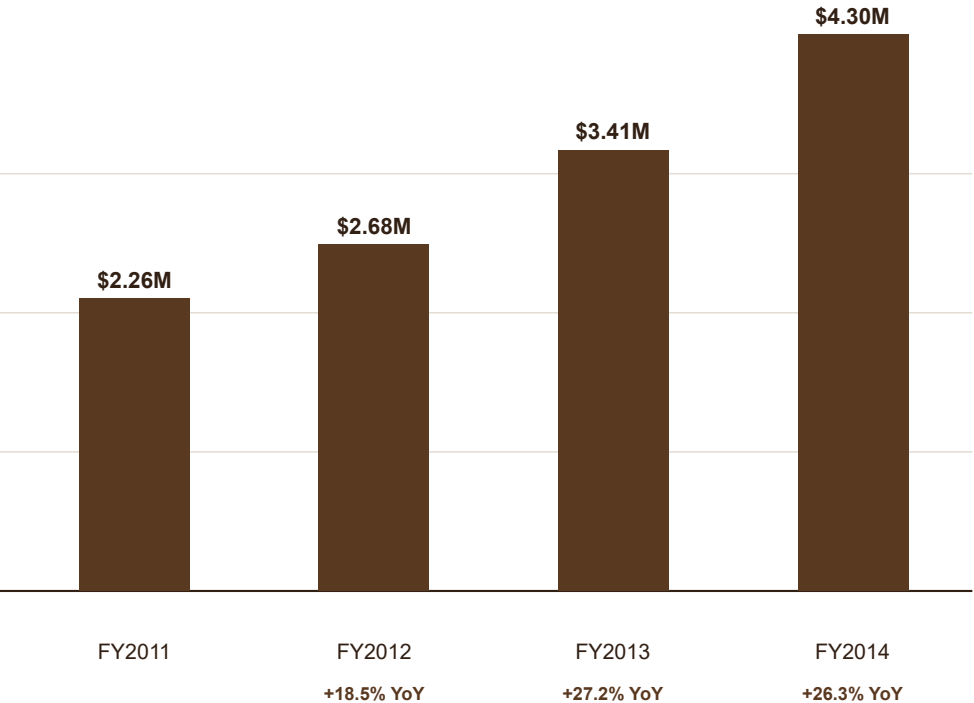
Source: Global Superstore transaction ledger, FY2011-FY2014 (51,290 order lines). Operating profit is reported profit after cost of goods and freight. Recovery is the base-case simulation output (analytics model, this deck), about \$0.31M a year on the same run-rate.

# Revenue grew 90% to \$4.3M and operating profit more than doubled

Gross sales by fiscal year

\$ million, FY2011-FY2014

Growth is genuine and volume-driven



Gross sales    Percentages show year-on-year growth

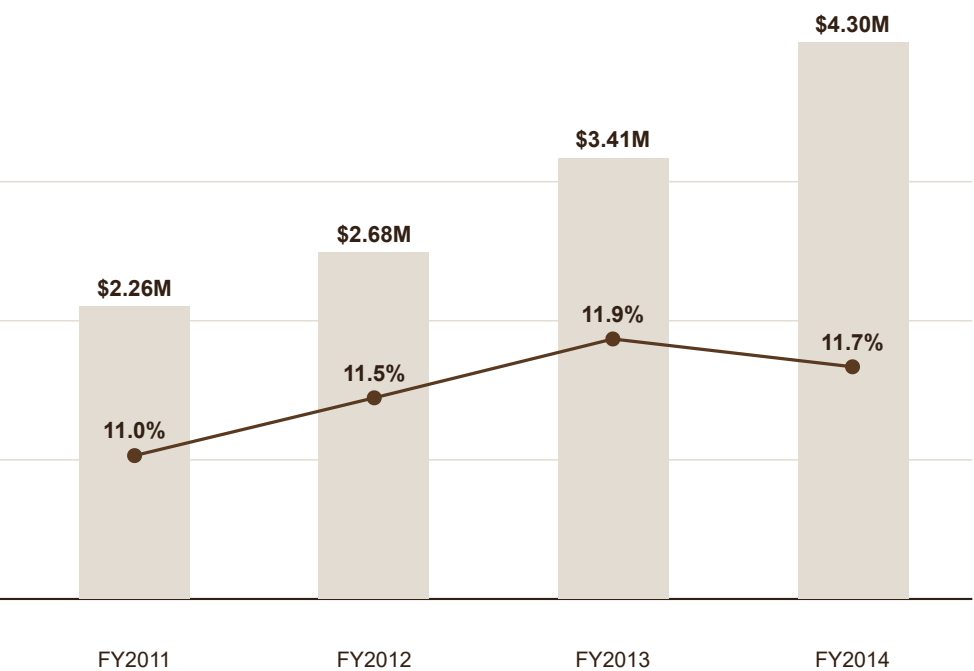
- Revenue rose every year, from \$2.26M in FY2011 to \$4.30M in FY2014 (+90.3%).
- Operating profit rose every year too, from \$249K to \$504K.
- Order volume grew from 4,440 to 8,531 orders; average order value stayed flat at about \$505.
- Growth came from more customers and orders, not from raising prices.

Source: Global Superstore transaction ledger, FY2011-FY2014. Operating profit is reported profit after cost of goods and freight.

# Operating margin stayed near 11% while sales climbed 90%

## Gross sales and operating margin

\$ million (bars) · margin %, FY2011-FY2014



Gross sales (bars)    Operating margin (line)

Source: Global Superstore transaction ledger, FY2011-FY2014. Operating margin = profit / gross sales.

## Volume was rewarded, margin was not

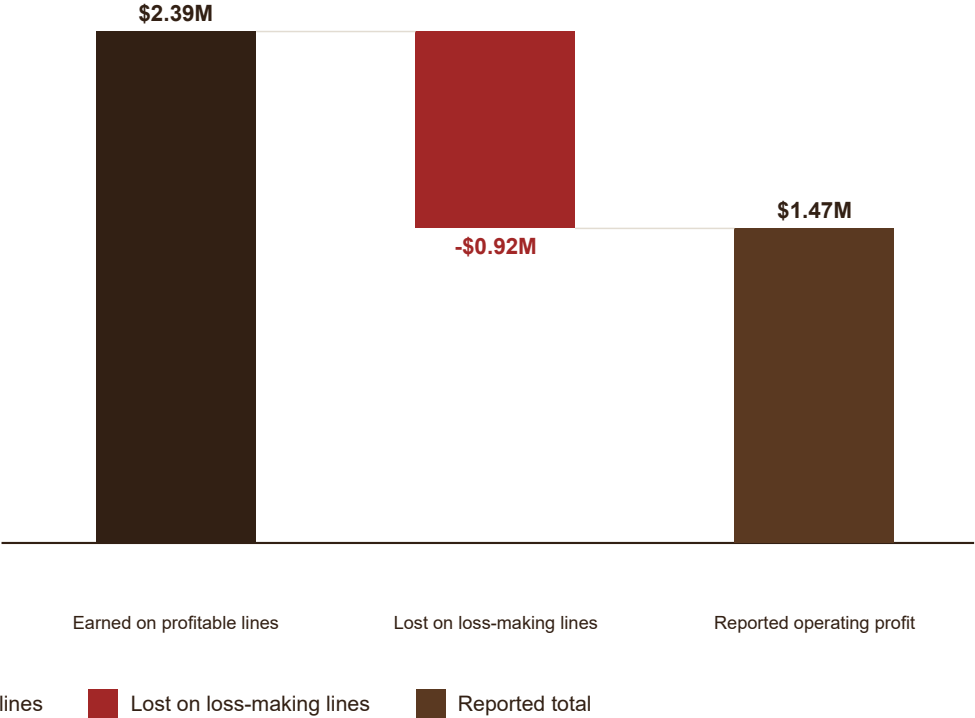
- Revenue compounded at 23.9% a year, but operating margin moved only from 11.0% to 11.7%.
- Profit grew almost exactly in line with revenue, so every extra dollar of sales carried the same thin margin.
- The company measures and pays for gross volume, so sales teams had no reason to defend price.
- Margin, not revenue, is the number the Board should track from here.

# One in four order lines loses money and drains \$921K of earned profit

From earned profit to reported profit

\$ million, FY2011-FY2014 cumulative

What the bridge shows



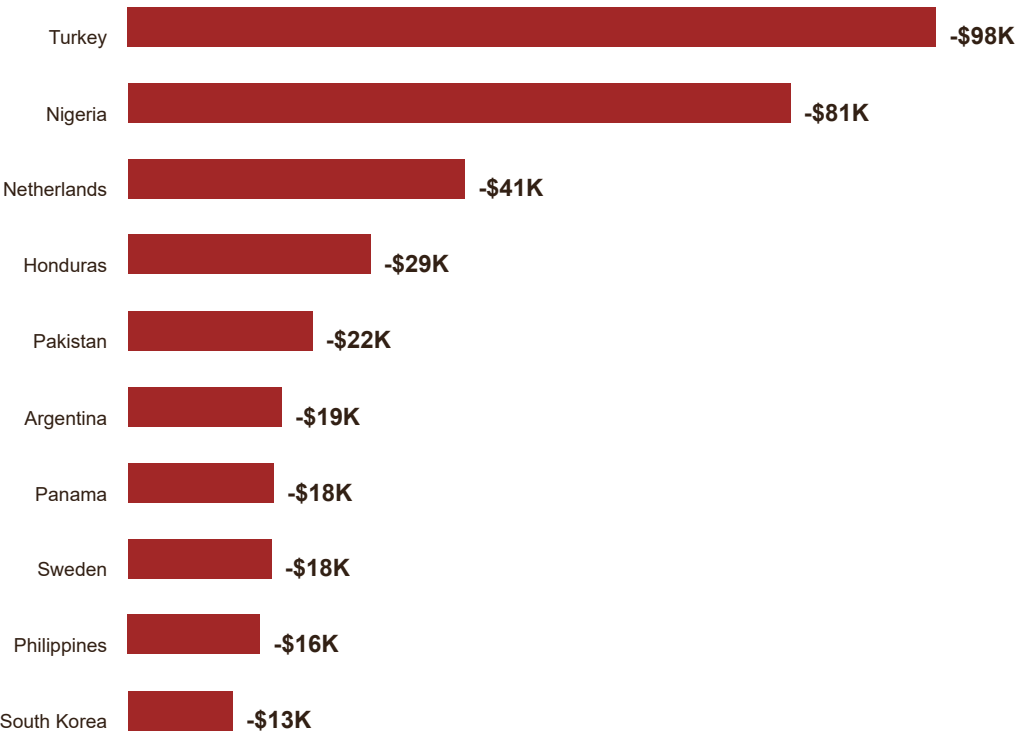
- Profitable lines earn \$2.39M before the losses; that core is strong on its own.
- 12,544 lines (24.5% of all lines) were priced at a loss and removed \$0.92M of that profit.
- Reported operating profit of \$1.47M understates how profitable the healthy core really is.
- The loss is a pricing and cost-to-serve outcome, not a weak market.

Source: Global Superstore transaction ledger, FY2011-FY2014. A line is loss-making where reported profit, net of cost of goods and freight, is negative.

# Losses concentrate in four countries, led by Turkey and Nigeria

Operating profit by country, ten largest deficits

\$ thousand, FY2011-FY2014 cumulative



A company-policy loss, not a market loss

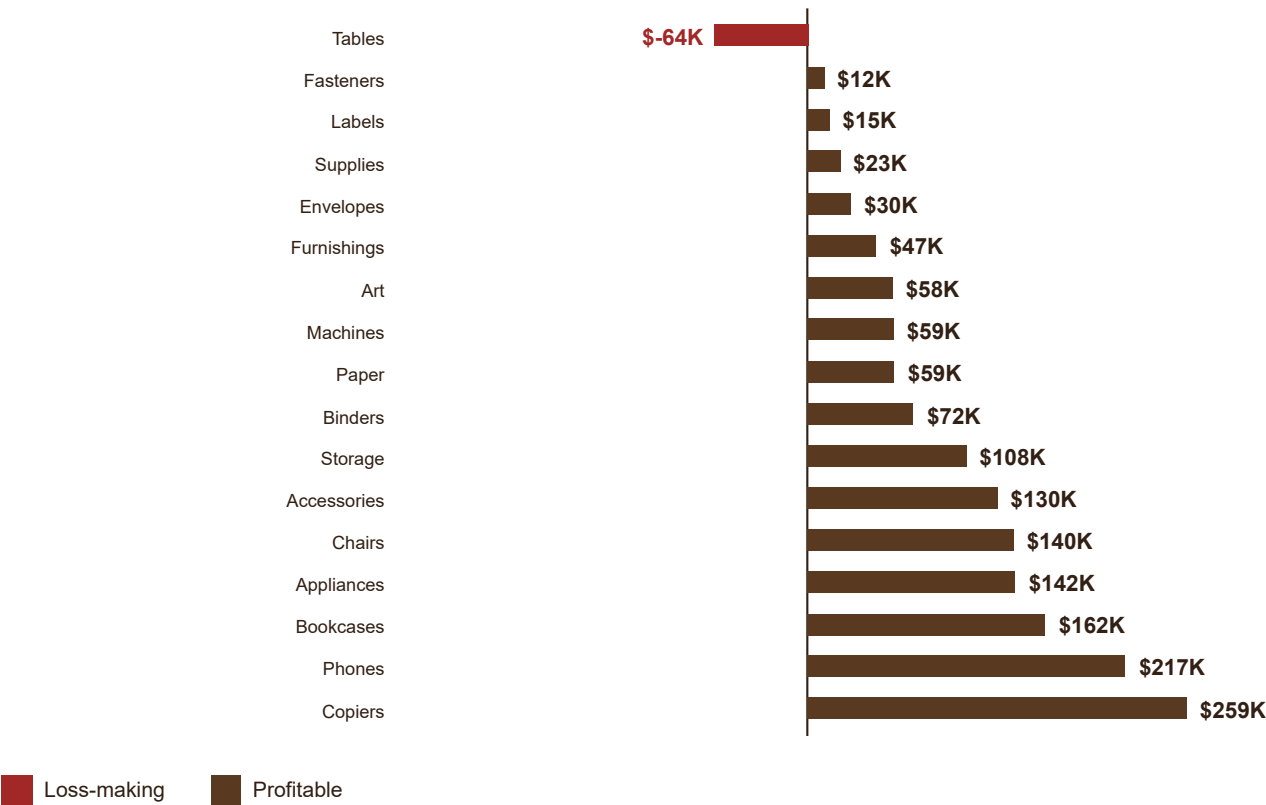
- Turkey (-\$98K) and Nigeria (-\$81K) alone account for \$179K of the deficit.
- 29 of 147 countries are net-negative; the top four carry 56% of that deficit.
- Both were sold at extreme average discounts: 60% in Turkey and 70% in Nigeria.
- The EMEA market (Europe, Middle East and Africa) runs a 5.4% margin, well below 12-13% in the other markets.
- No discount or freight cost was charged back to these territories, so their losses were absorbed centrally.

Source: Global Superstore transaction ledger, FY2011-FY2014. Discount is the order-line average; country profit is net of all lines in that country.

Tables is the only one of 17 sub-categories that loses money

Operating profit by sub-category

\$ thousand, FY2011-FY2014 cumulative



A pricing and freight problem, not demand

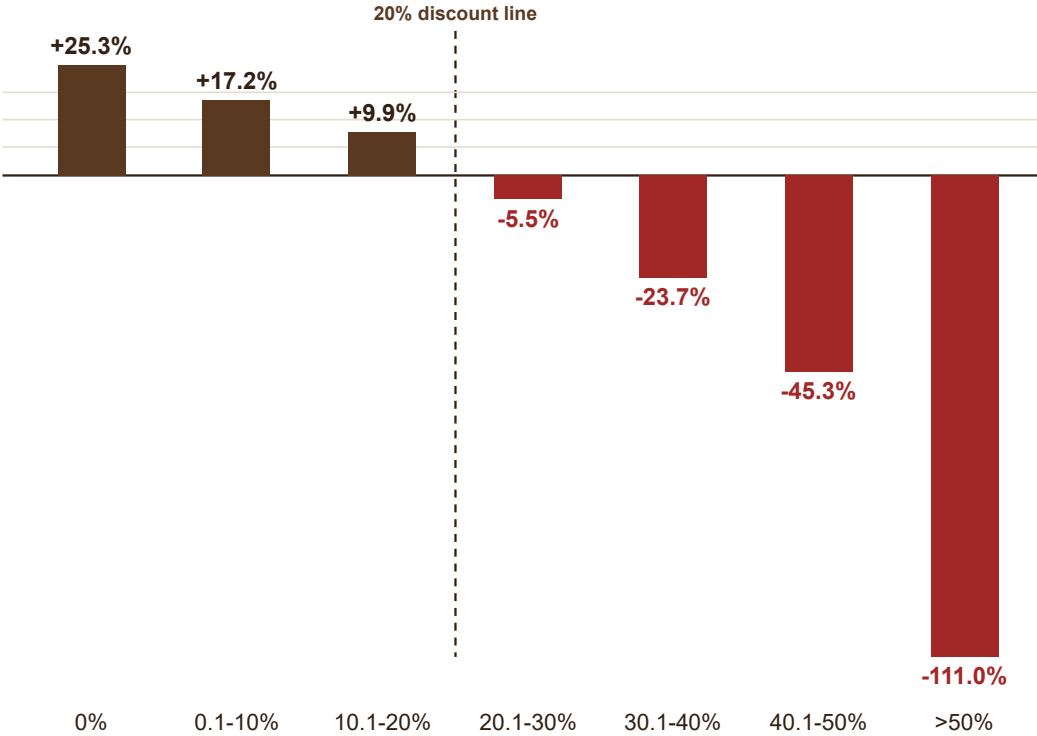
- Tables lost \$64.1K on \$757K of sales, a -8.5% margin, and is the only deficit sub-category.
- It carried a 29.1% average discount plus the highest freight per unit of any line.
- The rest of the portfolio is profitable: Copiers +\$259K, Phones +\$217K, Bookcases +\$162K.
- Furniture overall runs a 6.9% margin against 14.0% for Technology.

Source: Global Superstore transaction ledger, FY2011-FY2014. Sub-categories ranked by operating profit.

# Order economics invert once the discount passes 20%

## Operating margin by discount band

margin %, all order lines FY2011-FY2014



## The 20% break-even

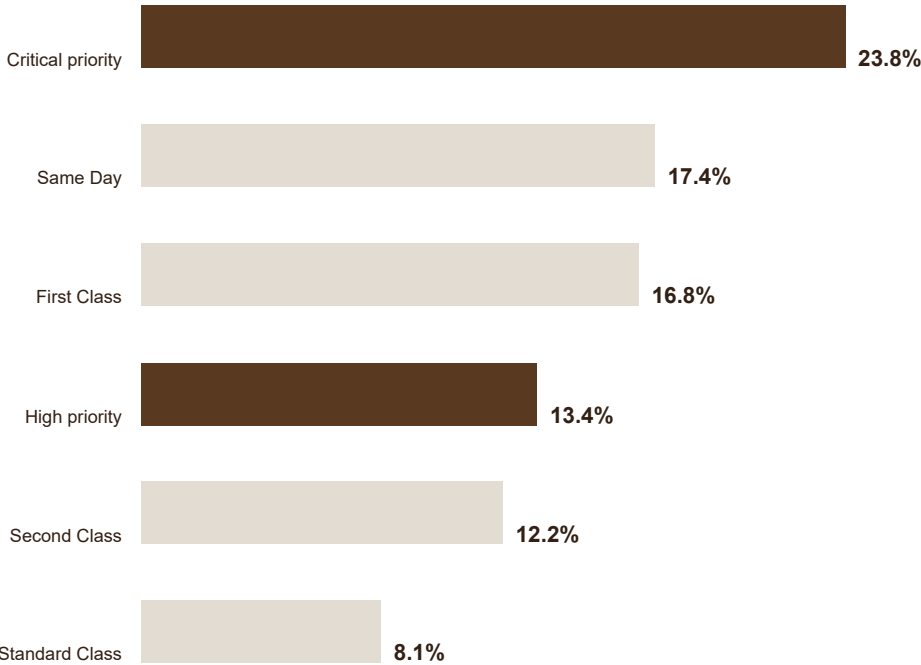
- Below 20% every line is profitable: margin runs from +25.3% at no discount to +9.9% at 10-20%.
- Above 20% every band is loss-making, sliding from -5.5% to -111%.
- 11,328 lines (22.1%) were priced above the 20% line and lost \$814,682 in total.
- Gross margin cannot cover concessions deeper than 20%, so the cap follows from the data.

Source: Global Superstore transaction ledger, FY2011-FY2014. Bands follow the discount distribution in the ledger.

# Expedited orders lose up to 24% of sales value to freight

Freight cost as a share of sales, order priority and ship mode

% of invoiced sales



Order priority Ship mode

Cost to serve is never charged back

- Critical-priority orders spend 23.8% of their sales value on freight; Same Day spends 17.4%.
- Standard Class spends only 8.1%, a third of the Critical rate.
- Company-wide freight is 10.7% of sales and is not passed through on bulky or expedited lines.
- Deep discounts and heavy freight co-occur on the same orders, so those orders struggle to recover.

Source: Global Superstore transaction ledger, FY2011-FY2014. Freight ratio = shipping cost / gross sales.

# Deep discounts, loss-making territories and bulky Tables drive the \$921K leak

| Root cause                       | Evidence in the data                                                                                                                                           | Where it concentrates                 | Profit recovered by the fix |
|----------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------|-----------------------------|
| Uncontrolled discounting         | <ul style="list-style-type: none"><li>22.1% of lines were priced above a 20% discount</li><li>Margin inverts at the 20% line, from +9.9% to -5.5%</li></ul>    | Every market; worst in EMEA and LATAM | +\$1.03M                    |
| Loss-making overseas territories | <ul style="list-style-type: none"><li>Turkey -\$98K and Nigeria -\$81K at 60-70% average discounts</li><li>EMEA margin 5.4% against 12-13% elsewhere</li></ul> | Turkey, Nigeria, Netherlands          | +\$0.18M                    |
| Bulk freight on Tables           | <ul style="list-style-type: none"><li>Tables -\$64K at a 29.1% average discount</li><li>Expedited freight runs at 17-24% of sales</li></ul>                    | Tables within Furniture               | +\$0.05M                    |

Recovery exceeds the reported \$921K loss because capping discounts at 20% returns those lines to a positive margin (+9.9%), rather than just break-even.

Source: base-case simulation on the FY2011-FY2014 ledger, before the churn allowance. Figures are an analytics estimate, not a forecast.

\$1.23M of operating profit is recoverable on the full-ledger basis

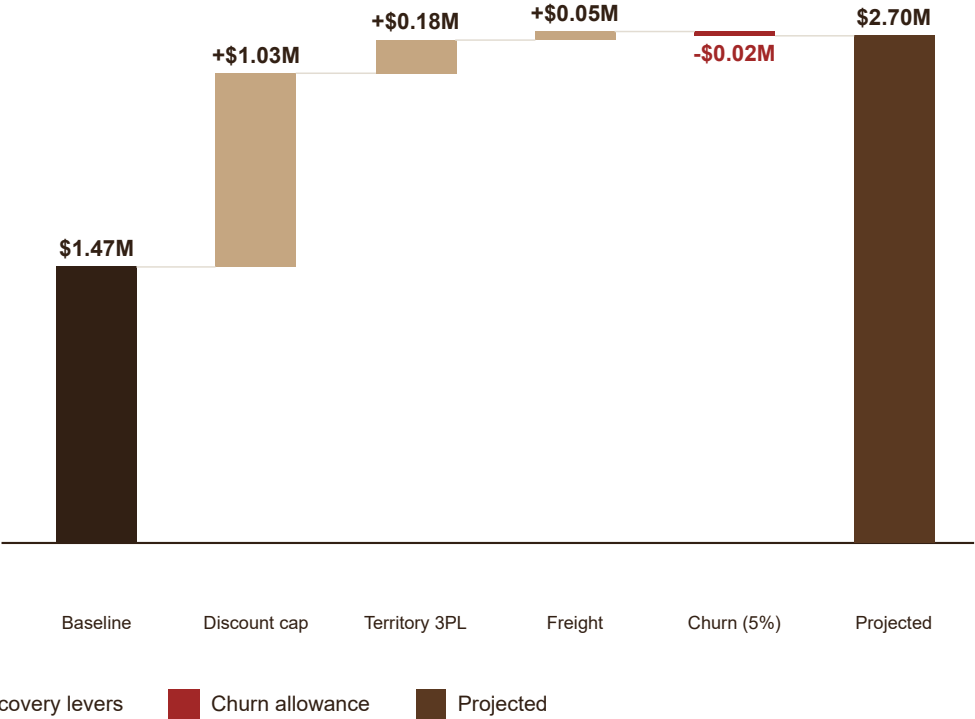
| Initiative                                                            | Owner                    | Timing     | KPI to track                                                                                                                            | Expected impact |
|-----------------------------------------------------------------------|--------------------------|------------|-----------------------------------------------------------------------------------------------------------------------------------------|-----------------|
| 1. Pricing governance: cap discounts at 20%                           | Chief Commercial Officer | Months 1-2 | <ul style="list-style-type: none"><li>Orders above 15% discount: below 2%</li><li>Average discount: below 12%</li></ul>                 | +\$1.03M        |
| 2. Restructure loss-making territories to third-party logistics (3PL) | VP Global Supply Chain   | Months 3-4 | <ul style="list-style-type: none"><li>Country operating margin: break-even within 90 days</li><li>Freight: below 12% of sales</li></ul> | +\$0.18M        |
| 3. Tables freight pass-through and repricing                          | Head of Merchandising    | Months 5-7 | <ul style="list-style-type: none"><li>Tables operating margin: above +10%</li><li>Dimensional freight recovery: 100%</li></ul>          | +\$0.05M        |

Source: base-case simulation on the FY2011-FY2014 ledger; levers are gross and the \$1.23M headline is net of a churn allowance, about \$0.31M a year on the same run-rate. Modelling estimate, not a forecast.

# The base case lifts operating profit 84% and margin to 19.9%

## Operating profit bridge, baseline to projected

\$ million, FY2011-FY2014 ledger basis



## The recovery path

- Baseline operating profit on the four-year ledger is \$1.467M at an 11.6% blended margin.
- The 20% discount cap contributes +\$1.03M, the largest single lever.
- Territory restructuring adds +\$0.18M and Tables freight +\$0.05M.
- After the churn allowance the company lands at \$2.70M and a 19.9% blended margin, about \$0.31M a year higher.

Source: analytics simulation on the FY2011-FY2014 ledger (base case: 20% cap, \$15 per table unit surcharge, full 3PL transition, 5% churn allowance). Modelling estimate, not a forecast.

The recommendation holds under conservative and aggressive assumptions

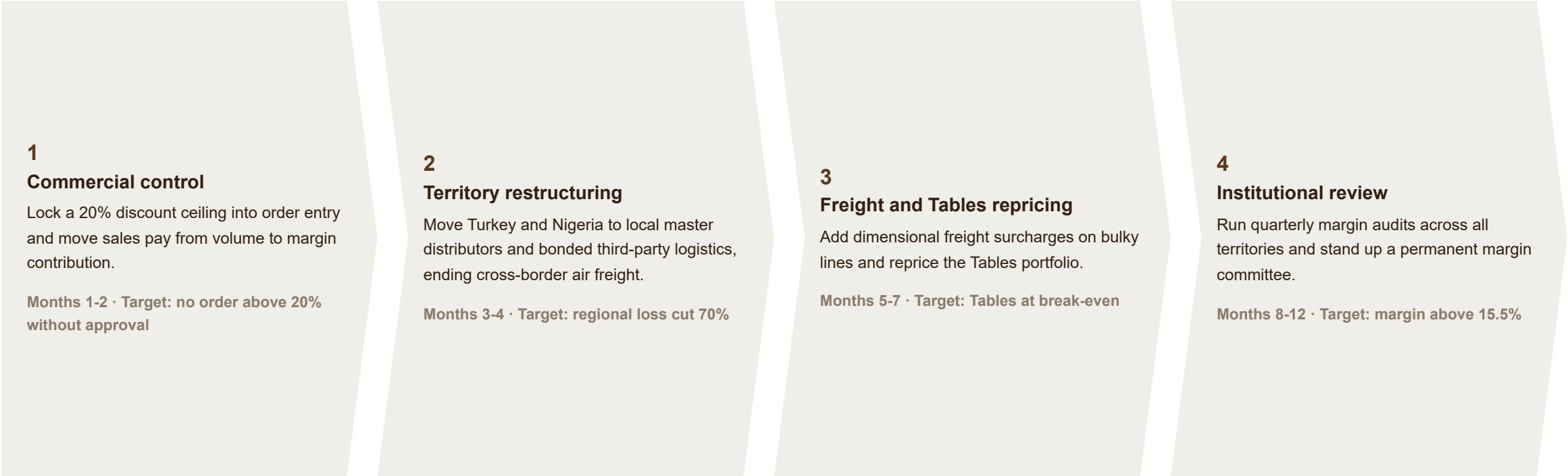
| Scenario                | Discount cap | Tables surcharge | Churn allowance | Projected profit | Margin | Uplift   |
|-------------------------|--------------|------------------|-----------------|------------------|--------|----------|
| Baseline (status quo)   | No cap       | \$0              | 0.0%            | \$1.467M         | 11.6%  | —        |
| Conservative            | 25%          | \$0              | 7.0%            | \$2.373M         | 17.8%  | +\$0.91M |
| Base case (recommended) | 20%          | \$15             | 5.0%            | \$2.701M         | 19.9%  | +\$1.23M |
| Aggressive              | 15%          | \$25             | 3.0%            | \$2.997M         | 21.7%  | +\$1.53M |

Source: analytics simulation on the FY2011-FY2014 ledger. Highlighted row is the recommended plan; all figures are on the four-year ledger basis and are modelling estimates, not forecasts.

# Execution runs from immediate price controls to a permanent margin committee

## Four-phase implementation

months 1-12



Source: turnaround plan derived from the FY2011-FY2014 diagnosis. Phase 1 begins on Board approval.

# The Board must approve the 20% discount cap and 3PL restructuring this quarter

## Three decisions requested

- **Approve the 20% discount cap** in order entry, with VP sign-off for discounts between 15% and 20% and a hard block above 20%.
- **Authorise the 3PL transition** for Turkey and Nigeria to remove the cross-border loss.
- **Charter a margin committee** chaired by the CFO to review discount leakage and Tables margin every quarter.

## Decision today, first savings inside 90 days

Phase 1 needs no new capital and no new systems beyond an order-entry rule.

## What the Board gets in return

**+\$1.23M**

Operating profit, full-ledger basis (+84% on \$1.467M)

**19.9%**

Operating margin, from 11.6% and above the 15.5% target

**\$0**

New capital spend required; Phase 1 is an order-entry rule

Source: base-case simulation on the FY2011-FY2014 ledger. Returns are on the four-year ledger basis and depend on the 5% churn assumption holding. Modelling estimate, not a forecast.

**“Beware of little expenses;  
a small leak will sink a great ship.”**

**Benjamin Franklin**